

Business Personal Property (BPP) Tax — A Practical Guide for Heavy Machinery Investors

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Status: Working research document — community sandbox. Not tax advice. Not legal advice. No authority claim. See §9.

1. Why this guide exists

The state Business Personal Property tax question first surfaced in our community when Sheryl Flynn — a Growth Circle member with deep equipment leasing experience — raised it on the May 22 weekly Heavy Machinery forum. The collective reaction was a mix of "wait, what?" and "are we supposed to be filing this?" — and the program lead reportedly had no immediate answer.

On June 4, **Eric Jafar** posted a substantive follow-up in the General Discussion thread, asking the program three direct operational questions:

- 1 Does EquipmentShare or EZ Equipment Zone handle BPP rendition filings on behalf of equipment owners?
- 2 If equipment is redeployed to a different state mid-year, how and when will I be notified?
- 3 Can I request quarterly siting reports showing which asset ID is at which location?

Ryan White responded confirming: EZ Equipment Zone and EquipmentShare do NOT handle BPP filings. The investor is responsible. Equipment is GPS-tracked, and he committed to looking into whether periodic siting reports are available as a standard deliverable.

Ryan also noted that compliance work supports material participation hours and recommended working with a qualified CPA familiar with multi-state BPP filings. **Michael Garrett** then asked Ryan whether Prime would handle this type of filing — that question is still open in the thread as of this writing.

This guide consolidates the thread's program-level confirmations with primary-source research on the BPP landscape into one shareable reference. It also references the explicit contractual language in the signed Advantage Flex packet, which removes any ambiguity about who is responsible.

2. The bottom line — what the signed contract says

The Advantage Flex Master Asset Management Agreement, which every program participant signs, contains explicit language on who handles which taxes. This is the contractual record, not a Skool post.

Section 8 (Taxes) of the Master Asset Management Agreement says, verbatim [1]:

"This Agreement is not a contract of sale, and **title to the Equipment shall remain with you throughout the Term** of this Agreement. **You will be responsible for promptly paying all license and registration fees, and any other taxes or fees associated with your ownership of the Equipment** when required to do so by applicable law. EquipmentShare will collect applicable sales and/or use taxes from End Users when required to do so by applicable law. **You understand and agree that you are solely responsible for determining and paying all taxes you may owe** relating to or arising out of your participation in the Program, receipt of the

Owner's Revenue Share, or other activities under this Agreement. **EquipmentShare will provide Equipment Zone with access to equipment location reports upon request to assist you with making required tax filings.**"

The Program Details summary on page 13 of the same packet says, verbatim [2]:

"Taxes: - Equipment Share to collect sales and use taxes on behalf of retail rental customers. - **Individual Equipment Owners maintain responsibility for state or Federal tax compliance, including applicable permits, certificates, and exemptions.** (Must consult your own tax and legal professionals.)"

The Risk Factors section on page 33 reinforces this [3]:

"Other State and Local Taxes. In addition to the federal income tax risks described above, prospective Owners should consider other potential state and local tax consequences of their participation on the Platform. State and local laws often differ from federal income tax laws with respect to the treatment of specific items of income, gain, loss, deduction, depreciation, and credit. You should consult with your own professional tax advisers prior to entering your equipment onto the Platform."

What this means operationally

Four things are now settled:

- 1 **Title to the equipment remains with you (the investor-LLC) throughout the Term.** You are the legal owner for BPP situs purposes. The lease-back to EquipmentShare does not shift ownership [1].
- 2 **You are solely responsible for "all taxes you may owe."** This explicitly includes state and local BPP, which attaches to ownership [1] [2].
- 3 **EquipmentShare contractually agreed to provide location reports on request** to assist with required tax filings. This goes further than a courtesy — it's already in the signed agreement. If you need a January-1 location snapshot for BPP filings, you have a contractual right to request it [1].
- 4 **EZ Equipment Zone does not provide tax advice [3].** Don't expect them to, don't rely on them to. Hire a CPA or tax attorney.

3. What BPP is, in plain language

Business Personal Property (BPP) tax — also called Tangible Personal Property (TPP) tax in some jurisdictions; same thing — is a state and local ad valorem tax on physical assets used in a trade or business.

What it covers: machinery, equipment, fixtures, tools, office furniture, computers, vehicles not registered through state DMV, inventory in some states, and other tangible items that are NOT real property (land and buildings).

What's distinctive about it: **it is a taxpayer-active tax.** Unlike real property tax — where the taxing authority sends you a bill — BPP requires the taxpayer to (a) itemize all qualifying property as of the assessment date, (b) report acquisition cost and acquisition date, (c) apply the state's depreciation schedule to derive taxable value, (d) calculate tax owed at the local millage rate, and (e) file the return and remit payment by the deadline.

For Heavy Machinery program investors, the relevant assets are the bonus-depreciated equipment pieces owned by your investor-LLC. Because the equipment moves across state lines under the EquipmentShare lease-back, each piece may create a filing obligation in whatever state and county it sits on each year's assessment date.

A note on the term. In Texas the formal name is "Business Personal Property" (BPP), and the return is called a "rendition." In other states it's variously called BPP, TPP, or simply "business property tax." The Tax Foundation

uses "Tangible Personal Property (TPP) Tax" as the umbrella term in its national data [4]. Same thing.

A note on threshold basis. Different states apply their de minimis thresholds against different bases — and the difference is operationally material:

- **Acquisition cost** (most states): the original purchase price, before any depreciation. This is what's reported on the rendition.
- **Fair market value (FMV)** (Wyoming, Arizona, Utah): the depreciated current value.
- **Assessed value** (Florida, Colorado): the value the assessor assigns after applying state-specific factors.

For a \$625,000 piece of heavy equipment with 20% Y1 depreciation: \$625K acquisition cost vs \$500K FMV vs ~\$60K-80K assessed value (depending on county). Applying a \$75,000 threshold against acquisition cost vs FMV gives completely different results. **Always check which basis applies in each state.**

4. The state filing landscape

U.S. states fall into three categories on BPP treatment. The Tax Foundation's published classification [4] is the canonical starting point, but several states have moved since publication. Values below have been verified against primary state sources.

Exempt states (14) — no BPP tax on business equipment

Delaware, Hawaii, Illinois, Iowa, Minnesota, New Hampshire, New Jersey, New Mexico, New York, North Dakota, Ohio, Pennsylvania, South Dakota, Wisconsin.

If your equipment lands in one of these states on the assessment date, you owe nothing in that state for that year. (A handful of these — MN, NJ, NM, NY, ND, SD — have narrow exceptions for centrally-assessed property or specific equipment classes, but for general business equipment the broad rule is no tax.)

De Minimis Exemption states (12 + DC) — tax above a threshold

State	2026 Threshold	Basis	Notes
Indiana	\$2,000,000	Acquisition cost per county	Effective 2026 assessment date forward [5]
Montana	\$1,000,000	Market value	Per Tax Foundation classification [4]
Arizona	\$500,000	FMV	Per Tax Foundation classification [4]
Idaho	\$250,000	Acquisition cost	Per Tax Foundation classification [4]
DC	\$225,000	Per FP-31	Fiscal year July-June (NOT calendar year) [6]
Michigan	\$80,000	Acquisition cost	Per Tax Foundation classification [4]
Wyoming	\$75,000	FMV per person per county	Effective 1/1/2026; 20% depreciation floor [7]
Colorado	\$56,000	Actual value	Confirmed for 2025-2026 [8]
Rhode Island	\$50,000	Per assessment	Effective for assessment date Dec 31, 2023 and after [9]

State	2026 Threshold	Basis	Notes
Utah	\$30,100	FMV per taxpayer per county	Indexed annually [10]
Florida	\$25,000	Assessed value	Must file by April 1 to claim the exemption. Late filing forfeits the exemption AND triggers 5%/month penalty (25% cap) [11]
Maryland	\$20,000	Original cost statewide	Effective 7/1/2022 [12]
Georgia	\$20,000	FMV per Board of Assessors	Effective 1/1/2025; returns still required even if below threshold [13]

States with thresholds at or above \$500K — **Indiana (\$2M) [5], Montana (\$1M), and Arizona (\$500K) [4]** — would fully exempt a typical Heavy Machinery deal even if equipment landed there.

States below the \$500K line — Idaho (\$250K), DC (\$225K), Michigan (\$80K), Wyoming (\$75K), Colorado (\$56K), Rhode Island (\$50K), Utah (\$30.1K), Florida (\$25K), Maryland (\$20K), Georgia (\$20K) — would tax the portion above their respective thresholds.

(Kansas and Kentucky technically have de minimis exemptions of \$1,500 and \$1,000 respectively — too low to be operationally meaningful — and are classified as Fully Taxed by the Tax Foundation for that reason [4].)

Fully Taxed states (24) — tax applies from the first dollar (with one exception)

Alabama, Alaska, Arkansas, California, Connecticut, Kansas, Kentucky, Louisiana, Maine, Massachusetts, Mississippi, Missouri, Nebraska, Nevada, North Carolina, Oklahoma, Oregon, South Carolina, Tennessee, **Texas (see below)**, Vermont, Virginia, Washington, West Virginia.

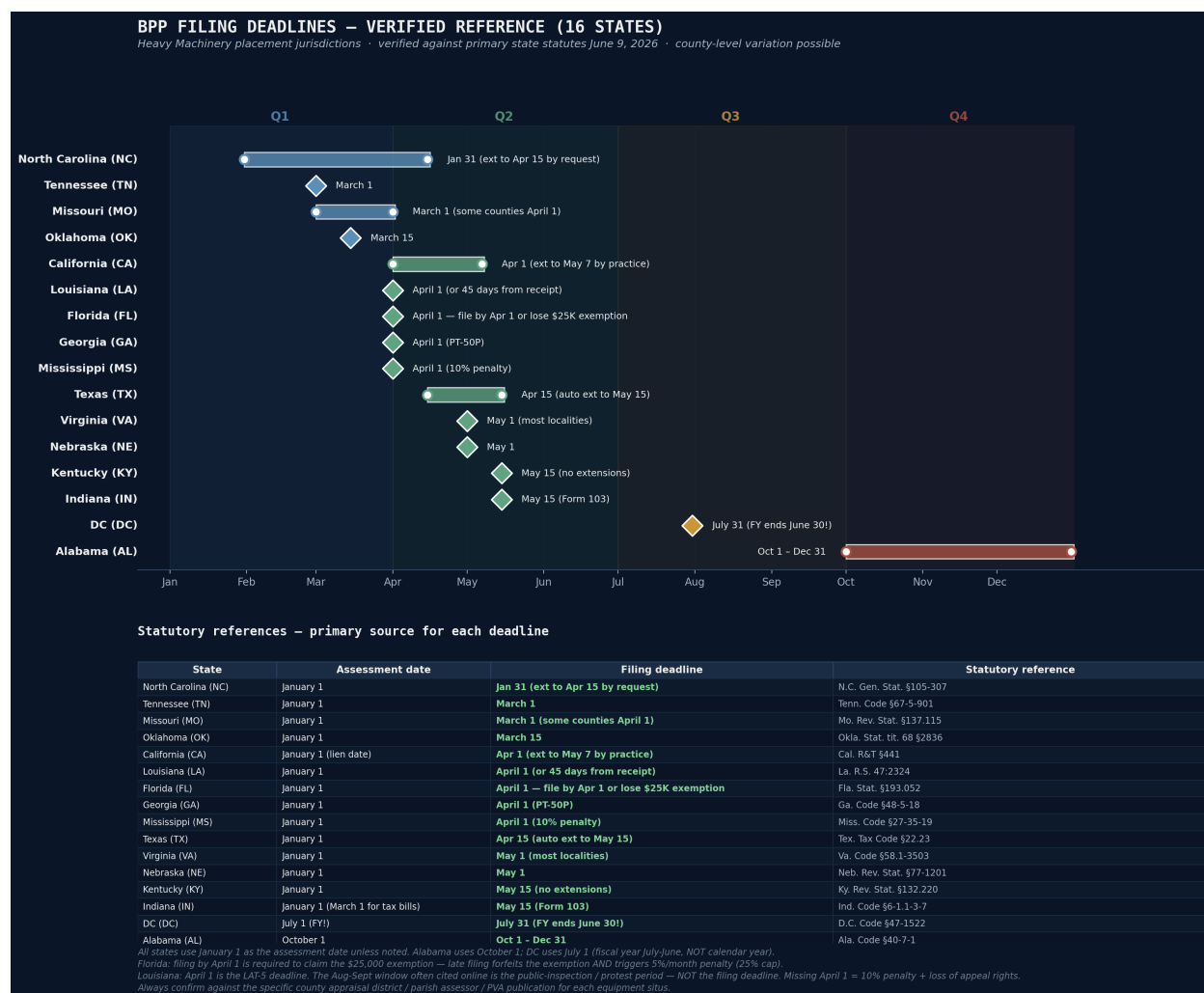
Texas — Proposition 9 / HB 9 changes posture for 2026. Voters approved Texas Proposition 9 in November 2025, raising the BPP exemption from \$2,500 to **\$125,000 per business location** effective for the 2026 assessment date. HB 9 is the implementing statute [14]. Most Heavy Machinery deals will still exceed \$125,000 per location and require full filing — but check your specific equipment-per-location exposure against the threshold before assuming you owe.

California filing threshold. Even though California is Fully Taxed, businesses with aggregate cost of business personal property and fixtures **under \$100,000** are generally not required to file a Business Property Statement unless the Assessor specifically demands one [15]. This is a de facto filing filter, not an exemption. If you've got a \$625K piece of equipment in California, you're well above this — but worth knowing the threshold exists.

This list includes the largest construction-equipment markets in the country — Texas, California, Louisiana — making it statistically likely that at least some portion of a multi-piece equipment portfolio will land in a fully-taxed state during the hold period.

5. Filing deadlines — verified reference (16 states)

Filing deadlines vary by state and often by county. Missing them carries penalties — typically expressed as a percentage of assessed value, sometimes (as in California) creating an effective penalty of multiple times the regular tax. The chart below shows verified deadlines for the 16 most likely Heavy Machinery placement states.



BPP filing deadlines by state

Key observations from the deadlines data

The April 1 cluster is the operational pressure point. California, Louisiana, Florida, Georgia, and Mississippi all have April 1 (or April-1-effective) deadlines. Texas (Apr 15), Tennessee (Mar 1), Oklahoma (Mar 15), and North Carolina (Jan 31) are also in the Q1 / early-April band. An operator with equipment across 4+ states will likely have a tight 60-day filing sprint.

Louisiana is April 1, not August-September. The LAT-5 form is mailed by parish assessors in February and is due April 1 (or within 45 days of receipt of the form, whichever is later). Missing the deadline = 10% penalty on the assessed value + loss of appeal rights. The August-September window often cited online is the public-inspection / protest period, NOT the filing period [16].

Florida's loss-of-exemption mechanism is unique. You must file by April 1 to claim the \$25,000 exemption. File late and you lose the exemption AND owe the 5%/month penalty [11]. Most other states with a de minimis exemption still let you claim the exemption if you file late.

Texas has the most generous extension provision. A written request by April 15 automatically extends to May 15. A further 15 days is available on good-cause showing [17].

Kentucky and Oklahoma have no extensions. Kentucky's May 15 is a hard cutoff [18]. Oklahoma's March 15 is also firm; missing it = 10% penalty, missing April 15 = 20% penalty [19]. Plan accordingly.

Alabama is the October-December anomaly. Alabama's assessment date is October 1 (not January 1). The listing window runs October 1 - December 31, with online filing convenience often open through January 31 by practice [20].

DC is the unique outlier. DC uses a **fiscal year July-June** for BPP purposes (not the calendar year that every other state uses). The assessment date is effectively July 1; the filing deadline is July 31. If you have equipment in DC, the calendar doesn't track the rest of your filings [6].

On penalties — read carefully

Penalties are commonly stated as a percentage of assessed value, not as a percentage of tax owed. The effective dollar burden depends on the assessment ratio and millage rate in the jurisdiction. A few examples:

- **Texas:** 10% penalty on total taxes for late or non-filing [21].
- **California:** 10% penalty on assessed value [22] — at typical 1% millage this is roughly 10× the regular tax for that property.
- **Oklahoma:** 10% of assessed valuation if filed late, 20% if not filed by April 15 [19].
- **Florida:** 5% per month up to 25% (most punitive on the schedule, plus loss of \$25K exemption) [11].
- **Louisiana:** 10% of tax due + loss of appeal rights [16].
- **Mississippi:** 10% of assessed value [23].

"10% penalty" can mean very different dollar amounts depending on whether it applies to assessed value or to tax due. Read the specific statute.

6. GPS tracking, situs, and the operational workflow

The Advantage Flex Master Asset Management Agreement explicitly states EquipmentShare's commitment: "EquipmentShare will provide Equipment Zone with access to equipment location reports upon request to assist you with making required tax filings" [1]. That's the contractual basis for getting January-1 location data when you need it. ES Track / T3 is the platform layer that supports it.

The standard workflow

- 1 **At each assessment date** (January 1 for most states; October 1 for Alabama; July 1 for DC), request a location snapshot of where each piece of your equipment is sitting. Save this as a contemporaneous record for your audit-defense file.
- 2 **For each state your equipment touched on the relevant assessment date**, identify which state classification it falls into (Exempt / De Minimis / Fully Taxed) and what the filing deadline is for that state and county.
- 3 **For Exempt and De Minimis states with thresholds above your equipment value in that state**, no filing required for that year — **with the important exception that several states (Florida, Georgia, Maryland, DC, Mississippi) require an annual return to be filed even if you owe zero tax.** Read your specific state.

- 4 **For Fully Taxed states and De Minimis states where your equipment value exceeds the threshold**, file the BPP return / rendition by the county-specific deadline, listing the equipment, its acquisition cost, and its acquisition date.
- 5 **Pay the assessed tax by the county's payment deadline** (which is typically separate from the filing deadline and falls later in the year).
- 6 **Maintain a multi-state filing calendar** organized chronologically — Q1 sweep for January-March deadlines (NC, TN, OK), April-cluster (CA, LA, FL, GA, MS, TX), late spring (VA, NE, KY, IN), summer (DC), fall (AL).

If the program produces standardized siting reports as a regular deliverable, that would substantially reduce the operator's lift on step (1). Until that's confirmed at the program level, the contractual right to request location reports is the fallback [1].

7. The material participation angle (Treas. Reg. §1.469-5T)

Ryan White noted in the thread that time spent on BPP compliance work can support material participation hours. That's directionally correct, but the regulation contains nuance that every program participant should understand before relying on BPP compliance work as a major component of their 100-hour Test 3 budget.

The basic rule

Under Treas. Reg. §1.469-5T(a)(3) — "Test 3" — an individual materially participates in an activity if (a) they participate for more than 100 hours during the tax year, and (b) their participation is at least as much as any other individual's [24]. For Heavy Machinery program participants, Test 3 is generally the most accessible material participation pathway.

Under §1.469-5T(f)(1), participation "generally includes any work done by an individual (without regard to the capacity in which the individual does the work) in connection with an activity in which the individual owns an interest at the time the work is done" [25]. That's a broad definition that, on its face, covers BPP compliance work.

The two key exclusions

Exclusion 1 — investor-capacity work (§1.469-5T(f)(2)(ii)). The regulation says [26]:

"Work done by an individual in the individual's capacity as an investor in an activity shall not be treated as participation in the activity for purposes of this section **unless the individual is directly involved in the day-to-day management or operations of the activity.**"

The regulation gives examples of investor-capacity work: studying and reviewing financial statements; preparing summaries or analyses of finances/operations for own use; monitoring finances/operations in a non-managerial capacity.

The honest read: This exclusion is broader than "don't pad your hours with reviewing P&Ls." The Tax Court has applied it to disqualify ostensibly active work where the taxpayer wasn't otherwise directly involved in day-to-day management or operations. The investor-capacity exclusion is the IRS's go-to challenge when a high-income taxpayer claims Test 3 material participation in an activity with large bonus-depreciation losses.

Practical line for BPP compliance: Filing a rendition once a year is unlikely by itself to constitute "direct involvement in day-to-day management or operations." It supports — but does not establish — material participation. The strongest defense is to combine BPP compliance hours with other genuinely operational activities (equipment placement decisions, vendor coordination, maintenance oversight, lease arrangements) so the BPP hours are part of a

larger pattern of operational involvement.

Exclusion 2 — work to avoid §469 disallowance (§1.469-5T(f)(2)(i)). Work "of a type not customarily done by an owner of such an activity" does not count if one of the principal purposes of doing the work is to avoid §469 passive loss disallowance [27].

Practical line: BPP filings for a heavy equipment rental LLC ARE customarily done by the owner (the contract confirms there's no one else doing them) [1]. So the first prong is generally satisfied. But the "principal purposes" test is a fact-pattern question. Genuine, contemporaneously documented compliance work tied to actual filing deliverables generally survives; manufactured hours generally don't.

The audit-defense posture for BPP compliance hours

- 1 **Document the operational necessity.** Contemporaneous notes: "January 4, 2027 — pulled T3 location data for 8 equipment pieces as of 1/1/27 assessment date; identified pieces in TX, OK, LA, AZ; began preparing Texas rendition for the 3 TX pieces."
- 2 **Tie the hours to deliverables.** State filings have due dates. Compliance hours should correspond to specific filing milestones — research, draft, file, confirm receipt. Hours without paper trails are the ones an examiner notices.
- 3 **Don't overstate.** Filing a single-state BPP rendition for a small portfolio doesn't take 30 hours. Be realistic.
- 4 **Pair with broader operational involvement.** BPP hours are stronger when paired with other genuinely operational activities — placement decisions, contracts, maintenance coordination. Standalone BPP compliance hours are vulnerable to the investor-capacity challenge.

Per §1.469-5T(f)(4), the regulations allow "any reasonable means" of substantiating participation hours, including appointment books, calendars, and narrative summaries [28]. In practice, the Tax Court has frequently rejected reconstructed logs as "ballpark guesstimates." Contemporaneous time records — even if the regs don't strictly require them — are the gold standard.

Ryan White's recommendation to "work with a qualified CPA or tax professional familiar with multi-state BPP filings" is well taken, particularly for participants with equipment in 4+ jurisdictions. A CPA handling the actual filing reduces the operator's exposure to filing errors but may also reduce the hours legitimately countable toward Test 3 — a real trade-off worth thinking through deliberately with your CPA.

8. Action checklist for Heavy Machinery investors

- 1 **At equipment placement, request preferred-state placement.** Target the Exempt 14 (especially Pennsylvania, Ohio, Illinois, New York for active construction markets; New Jersey, Minnesota, Hawaii also Exempt) or De Minimis states with thresholds above your equipment value (**Indiana \$2M starting 2026 [5], Montana \$1M [4], Arizona \$500K [4]**). EquipmentShare cannot guarantee placement preference but allows requests.
- 1 **Maintain a current location log.** Pull from ES Track monthly or quarterly. At minimum, pull on each year's assessment date. The contractual right under MAMA Section 8 to request location reports is your fallback if the program doesn't produce them as a standard deliverable [1].
- 1 **Build a multi-state filing calendar** organized by chronological deadline:

- **Late January:** North Carolina (Jan 31) [29] - **March:** Tennessee (Mar 1) [30], Missouri (Mar 1 most counties) [31], Oklahoma (Mar 15) [19] - **April 1 cluster:** California, Louisiana [16], Florida [11], Georgia [13], Mississippi [23] - **Mid-April:** Texas (Apr 15) [17] - **May:** Virginia [32], Nebraska [33], Kentucky (May 15 hard cutoff) [18], Indiana (May 15) [34] - **July:** DC (Jul 31) [6] - **October-December:** Alabama [20]

- 1 **Engage a multi-state BPP CPA for your first year.** First-year-with-experienced-help limits filing errors and lets you build internal capacity for future years.
- 1 **Document compliance work contemporaneously** in your material participation log. Tie hours to specific deliverables. Pair BPP hours with broader operational involvement (placement decisions, vendor coordination) so the investor-capacity challenge has a weaker foothold [26].
- 1 **At each year-end, audit your filing record.** Confirm every state where your equipment sat on the assessment date has had a return filed (or is in an Exempt / De Minimis classification with documented non-filing posture).
- 1 **Press the program for clarity** on (a) the production of standardized periodic siting reports per Ryan White's commitment, and (b) any updates on Michael Garrett's question about Prime handling filings.

9. References

Primary contractual source (Advantage Flex Program)

- [1] Advantage Flex Master Asset Management Agreement, Section 8 (Taxes). Signed equipment-owner agreement.
- [2] Advantage Flex Information Packet, January 2026, page 13 (Program Details — Taxes).
- [3] Advantage Flex Information Packet, January 2026, page 33 (Risk Factors — Other State and Local Taxes).

Tax Foundation classification

- [4] Tax Foundation, *Tangible Personal Property De Minimis Exemptions by State*, 2025. Joseph Johns, April 29, 2025. <https://taxfoundation.org/data/all/state/tangible-personal-property-taxes/>

State statutes — de minimis thresholds and recent legislative changes

- [5] Indiana Code §6-1.1-3-7.2 as amended by HEA 1427 (signed May 6, 2025); Indiana DLGF Cockerill Memo (May 23, 2025) — \$2,000,000 acquisition cost per county threshold effective for the 2026 assessment date and forward.
- [6] D.C. Code §47-1522; FP-31 instructions, DC Office of Tax and Revenue — \$225,000 threshold; fiscal year July–June; filing deadline July 31.
- [7] Wyoming Senate File 48 (signed February 24, 2025; effective January 1, 2026); Wyoming Senate File 49 (companion 20% depreciation floor); Deloitte State Tax Matters (March 7, 2025) — \$75,000 FMV exemption per person per county.
- [8] Colorado Revised Statutes §39-5-113.3 — \$56,000 actual value exemption per county for tax years 2025–2026.
- [9] Rhode Island House Bill 5800 (signed 2023) — \$50,000 exemption effective for assessment date December 31, 2023 and after.
- [10] Utah Publication 20 (2026), Utah State Tax Commission — \$30,100 FMV exemption per taxpayer per county (indexed annually).

[11] Florida Statutes §193.052; Form DR-405; Florida Department of Revenue — \$25,000 assessed value exemption; April 1 deadline; loss of exemption if filed late; 5%/month penalty up to 25%.

[12] Maryland Tax-Property Code §7-243 — \$20,000 statewide original cost exemption (effective July 1, 2022).

[13] Georgia Code §48-5-18; Form PT-50P; Georgia Referendum A (November 2024 ballot, effective January 1, 2025) — \$20,000 FMV exemption; returns required even if below threshold.

[14] Texas Tax Code §11.145 as amended by HB 9; Texas Constitution Article 8 §1(d) as amended by Proposition 9 (November 2025 ballot); Texas Comptroller HB 9 implementation guidance — \$125,000 per-location BPP exemption effective for the 2026 assessment date.

[15] California Revenue & Taxation Code §441; Business Property Statement (BOE-571-L); California State Board of Equalization — \$100,000 cost threshold below which a Business Property Statement is generally not required unless the Assessor demands one.

State statutes — filing deadlines and penalty mechanics

[16] Louisiana Revised Statutes §47:2324 (LAT-5 filing — April 1, or within 45 days of receipt of the form, whichever is later); multiple parish assessor publications (Orleans, East Baton Rouge, St. Tammany Parishes); Liskow & Lewis APLC; Hannis T. Bourgeois CPAs — 10% penalty on assessed value + loss of appeal rights for late filing.

[17] Texas Tax Code §22.23 — April 15 rendition filing deadline; automatic extension to May 15 upon written request by April 15; additional 15 days for good-cause showing.

[18] Kentucky Revised Statutes §132.220; Form 62A500; Kentucky Department of Revenue — May 15 deadline; no extensions permitted.

[19] Oklahoma Statutes Title 68 §2836; Form OTC 901 — March 15 deadline; 10% penalty for late filing; 20% penalty for filings after April 15.

[20] Alabama Code §40-7-1; Form ADV-40 — October 1 lien date; October 1 – December 31 listing window.

[21] Texas Tax Code §22.28 — 10% penalty on total taxes for late or non-filing.

[22] California Revenue & Taxation Code §463 — 10% penalty on assessed value for late filing.

[23] Mississippi Code §27-35-19; Mississippi Department of Revenue — April 1 rendition deadline; 10% penalty on assessed value for late filing.

IRS / Treasury Regulations — material participation

[24] Treas. Reg. §1.469-5T(a)(3) — Material participation (temporary), Test 3 (more than 100 hours of participation and not less than the participation of any other individual). 26 CFR §1.469-5T. <https://www.ecfr.gov/current/title-26/chapter-I/subchapter-A/part-1/subject-group-ECFR53de09ff5f206e9/section-1.469-5T>

[25] Treas. Reg. §1.469-5T(f)(1) — Definition of participation.

[26] Treas. Reg. §1.469-5T(f)(2)(ii) — Investor-capacity exclusion; day-to-day management or operations test.

[27] Treas. Reg. §1.469-5T(f)(2)(i) — Anti-abuse exclusion (work not customarily done by an owner if the principal purpose is to avoid §469 disallowance).

[28] Treas. Reg. §1.469-5T(f)(4) — Substantiation of hours by "any reasonable means."

Additional state statutes — filing deadlines referenced in §8 action checklist

- [29] North Carolina General Statutes §105-307 — listing period January; written extensions to April 15.
- [30] Tennessee Code §67-5-901; Schedule B for tangible personal property; Tennessee Comptroller of the Treasury — March 1 filing deadline.
- [31] Missouri Revised Statutes §137.115 — March 1 personal property declaration most counties; April 1 some counties.
- [32] Virginia Code §58.1-3503; Form 762 — locally administered; generally May 1; varies by locality.
- [33] Nebraska Revised Statutes §77-1201; Form 941/941P — May 1 deadline.
- [34] Indiana Code §6-1.1-3-7; Form 103 — May 15 deadline.

Supplementary references

- [35] Tax Foundation, *2026 State Tax Changes Taking Effect January 1st*.
<https://taxfoundation.org/research/all/state/2026-state-tax-changes/>
- [36] Baker Tilly, *Understanding the Impact of SEA 1 and HEA 1427 on Business Personal Property* (2025).
- [37] Grant Thornton, *States Focus on Personal Property Tax Relief* (February 2026 alert).

10. Caveats — this is not tax advice

This guide consolidates publicly-available information from authoritative tax sources, supplemented by the Growth Circle community's collective working knowledge as of June 9, 2026, and the contractual language in the signed Advantage Flex Master Asset Management Agreement. It is intended as a starting reference for Heavy Machinery program participants who want to understand their BPP exposure and the operational workflow involved.

It is not tax advice. It is not legal advice. It is not a substitute for professional consultation. Specific filing decisions should be made in consultation with a qualified CPA or tax attorney familiar with the particular state(s) and county(ies) where your equipment is physically located on each year's assessment date.

The state classifications and filing deadlines in this guide were verified against authoritative sources as of June 9, 2026. State law changes and county practice varies. **Verify any specific filing obligation against the relevant state Department of Revenue and the relevant county appraisal district / property valuation administrator publication before relying on it for an actual filing decision.** Several recent state-law changes (Texas, Indiana, Wyoming, Georgia) are still being implemented at the county level and may be subject to early-period administrative variation.

The material participation analysis in §7 reflects the operational read of Treas. Reg. §1.469-5T as commonly understood in passive-activity practice. Specific application to a particular taxpayer's facts requires individualized professional judgment — and in our context, this is exactly the kind of question your CPA earns their fee on.

The author of this guide is not a CPA, not a tax attorney, not a tax professional. This is research I built for my own modeling and shared with the community because it seemed useful. AI assistance was used in the drafting and fact-check process. I have done my best to verify facts but I will not catch everything. **Do your own diligence. Consult your own professionals before any filing decision.**

If you find an error in this guide or have feedback on how to make it more useful, please reply on Skool or DM Joss Renaud. The intent is for this to become a community-maintained living reference, not a one-time post.